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Project Management 5.2

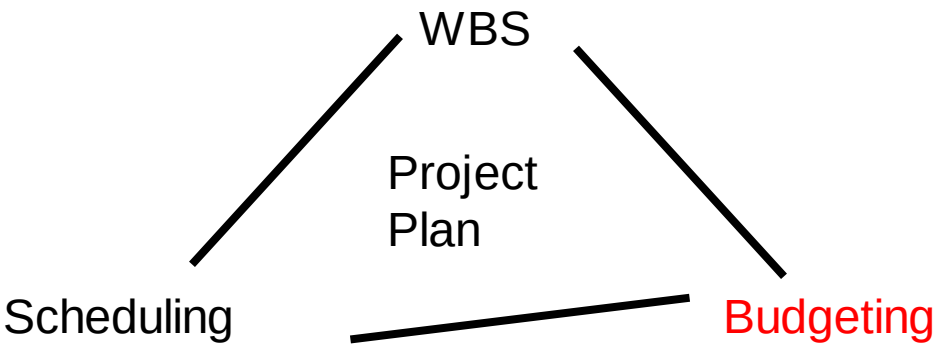
Project Budgeting

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Learning Outcomes

- By the end of this week, you will be able to:
  - Use Planning Tools
  - Discuss different breakdown models
  - Prepare budgets
  - Schedule a project
  - Give relevant examples

Creating a Project Budget



- Top-down
- Bottom-up
- Activity-based costing (ABC).

Derived from Pinto, J. (2020) Project Management: Achieving Competitive Advantage, 5th Edition, Prentice Hall

Activity-Based Costing (ABC)

Projects use activities & activities use resources

1. Assign costs to activities that use resources
2. Identify cost drivers associated with this activity
3. Compute a cost rate per cost driver unit or transaction
4. Multiply the cost driver rate times the volume of cost driver units used by the project.

Derived from Pinto, J. (2020) Project Management: Achieving Competitive Advantage, 5th Edition, Prentice Hall

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Budget Contingencies

The allocation of extra funds to cover uncertainties and improve the chance of finishing on time.

Contingencies are needed because

- Project scope may change
- Murphy's Law is present
- Cost estimation must anticipate interaction costs
- Normal conditions are rarely encountered.

Derived from Pinto, J. (2020) Project Management: Achieving Competitive Advantage, 5th Edition, Prentice Hall

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Look Forward

- Scheduling